Internal Compliance Concern Management Guidelines

Introduction

This document defines HarborPoint Community Bank’s internal standards for managing suspected compliance concerns across lending and treasury operations. It establishes consistent practices to protect customers, employees, and the Bank while supporting timely decision-making. The guidance aligns with confidentiality expectations and applicable banking regulatory frameworks. Business units and control functions should use this manual to maintain clear, defensible case handling.

Compliance Case Intake and Triage

During intake and triage, the investigator must first map all collected evidence to the applicable HarborPoint policies and control requirements and note any gaps as preliminary findings before formalizing conclusions. Once this mapping is complete, the case owner drafts the initial Findings Memo (FM-1) capturing a clear issue statement, the investigation scope, a dated chronology of key events, and an evidence summary with source citations to support each factual assertion. The memo must also document the working root-cause analysis and propose practical corrective actions aligned to risk reduction and regulatory expectations. FM-1 is then uploaded to the Compliance Case Platform (CCP) and routed to Compliance leadership for approval, with approval dates and approver names recorded in CCP to maintain a defensible audit trail. Where the matter involves financial crime indicators or the BSA-9 workflow was invoked, the investigator must obtain an additional sign-off from the BSA Officer prior to closing triage and escalating to remediation planning. Completing this routing sequence ensures the investigation steps are consistently documented, appropriately reviewed, and ready for timely corrective action decisions.

Conclusion

Consistent handling of compliance concerns reduces regulatory risk and supports a strong control environment. Following these guidelines helps ensure issues are identified, documented, and routed through appropriate channels without compromising confidentiality. Clear records and disciplined escalation enable effective remediation and oversight. Adherence to this manual strengthens HarborPoint’s commitment to integrity and customer trust.